

Assignment 2

2020-06-30

- 1) For all of the exercises of the first assignment batch, create also the historical forecast report, fixing all external and trend variables, both in the Kalman filter and in the forecast. Discuss which parameterization is more reasonable based on the results.
- 2) Modify the baseline forecast scenario, so that all variables which are available in 2021 Q1 are fixed at their observed values.
- 3) (This one is far from trivial) The baseline forecast, the deficit remains high at around 14% of GDP throughout the whole forecast horizon. This is strange given that the steady of deficit is 5%. Try to identify the source of this issue.
- 4) Create a forecast scenario where the values of the deficit are fixed at values consistent with the current budget law (at least on the horizon of the budget).
- 5) Modify the previous scenario by also fixing the path of the structural deficit so that it returns to its steady state by the end of the forecast horizon (you may assume for simplicity that its path is a straight line from the last historical value to the steady state). Create a report comparing this scenario to the one in point 2) above. Explain how the more restrictive fiscal policy changes the forecast.